



## **Qualification Programme Examination Panelists' Report**

### **Module 14 – Taxation (June 2023 Session)**

*(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)*

#### **(I) Section A – Case Questions**

##### **General Comments**

The case questions in Section A covered topics including the concept of "normally managed or controlled" under double tax agreement (i.e., tax residency), source of profits, stamp duty implications of property and share transactions, information exchange regime under Common Reporting Standard ("CRS"), the Code of Ethics for Professional Accountants, etc. The questions in this section necessitated candidates to apply technical knowledge to a business case. Therefore, candidates were expected to demonstrate their fact-finding, analytical, and presentation skills. These are essential skills that a professional accountant should possess.

Candidates' overall performance on this section was not satisfactory. The key to success on this section was reading the case carefully, making use of the information provided in the case to support the analysis, and paying attention to the flow of ideas before writing the answer. In order to successfully answer the questions within the allotted time, candidates needed to carefully manage their time. Although candidates may have felt the case included too much information, the information proved helpful if candidates were able to identify the relevant information and apply it correctly.

##### **Specific Comments**

###### **Question 1(a) – 5 marks**

This question required candidates to demonstrate their understanding of the concept of "normally managed or controlled" under double tax agreement, and application of this concept based on the facts of the case. Candidates' performance on this question was varied. For those candidates who grasped the above requirement, they usually earned satisfactory marks as the information can be easily found in the Inland Revenue Department's practice note. Those candidates who earned unsatisfactory marks usually focused on irrelevant topics, such as Permanent Establishment ("PE") or source of profits. Quite a few candidates wrote long answers covering various irrelevant issues and thus were left with insufficient time to answer other questions.

Question 1(b) – 4 marks

This question required candidates to identify those relevant facts from the case to support the tax analysis on how tax residency will change as a result of relocation. This is a highly practical question involving fact-finding, tax analysis, and presentation of the conclusion. Unfortunately, many candidates only managed to provide a general discussion around the location of board meetings and failed to further address other important activities that were mentioned in the case. Only a few candidates were able to apply the concept of effective management and arrive at the correct conclusion. Candidates' overall performance on this question was unsatisfactory.

Question 2(a) – 8 marks

This question tested candidates' analytical skills about how income is taxed in Hong Kong under two different business setups. The underlying issues are simple and have been tested in the past on various occasions. The difficult part was to structure the thinking and present the points in a logical manner so that the reader can easily follow. Unfortunately, not many candidates were able to satisfactorily demonstrate the above skills. Some candidates were confused by the legal forms of the two business setups and wrote contradictory points for analysing the income source. Other candidates focused on irrelevant PE analysis. Overall, candidates' performance on this question was unsatisfactory.

Question 2(b) – 4 marks

This question required candidates to play the role of a tax advisor by identifying relevant tax and business issues pertaining to a business restructuring exercise. This was a challenging question that required candidates to combine their technical tax knowledge with their business sense in order to derive a list of questions that the client would need to address before moving forward. Although the style of this question was new to candidates, most of the issues were not. Most candidates were able to write briefly on at least one relevant issue, and thus scored partial marks. However, some candidates did not even attempt to answer the question. Therefore, performance on this question was, overall, less than satisfactory.

Question 2(c) – 8 marks

This question required candidates to project the post-restructuring income statement, apply correct tax treatments on taxation of income and expense deduction, and then estimate the assessable profits. Although the tax adjustments involved were quite straight forward, many candidates did not manage to reach the right calculations. Quite a few candidates provided answers about how to compute the assessable profits, without including any calculations. Further, some candidates provided explanations about tax treatments that were not consistent with the calculation they provided. Finally, some candidates appeared to have given up and not provided any answer at all. In summary, candidates' performance on this question was overall far below expectation.



Question 3(a) – 5 marks

This question required candidates to analyse and conclude the non-Hong Kong Permanent Resident ("HKPR") status of the buyers, and the understanding of Ad Valorem Stamp Duty ("AVD") and Buyer's Stamp Duty ("BSD"). Candidates' performance on this question was generally satisfactory. Most candidates provided valid reasons to correctly identify the buyers as non-HKPRs and also arrived at the correct conclusions on AVD and BSD. However, quite a few candidates provided overly long answers by copying materials from the learning pack. Such long answers were unnecessary and may have negatively affected candidates' time management.

Question 3(b) – 6 marks

This question drilled down on the more complicated situation involving consideration other than cash. Most candidates were able to identify that share transfer is a dutiable transaction, but failed to correctly point out that the applicable tax base should be the market value. Some candidates mixed up the concept of exchange of real property and thus incorrectly referred to the transaction price difference in their answer. Other candidates discussed the stamping on share transfer but failed to address the stamping on the property transfer. Overall, candidates' performance on this question was fair.

Question 4(a) – 4 marks

This question required candidates to demonstrate their understanding of information exchange regime under CRS and application of the rules. Candidates who were familiar with this topic were generally able to locate the relevant information from the learning pack and scored reasonably high marks. Unfortunately, many candidates were writing along the information exchange under the Inland Revenue Ordinance ("IRO") and double tax agreement, which are irrelevant. In summary, candidates' performance on this question was varied.

Question 4(b) – 6 marks

This question required candidates to demonstrate their understanding of the requirements under the Code of Ethics for Professional Accountants and their application. Most candidates were able to set out the general rules that were relevant to the case. Some of the candidates were able to comment on the three client requests based on general business sense and came to a reasonable conclusion. Other candidates were additionally able to further comment on procedures for KYC and client acceptance, which were also relevant. Overall, candidates' performance on this question was satisfactory.



**(II) Section B – Essay/Short Questions**

**General Comments**

Questions in this section covered a variety of topics, including eligibility for two-tiered profits tax rates, property tax, profits tax and personal assessment computations, salaries tax liabilities on share option gain and accommodation benefits, distinction between contract for service and contract of service, certain technical aspects in respect of profits tax, as well as administrative issues on informing chargeability and holdover of provisional tax. While candidates' performance on questions 6 and 8 was not fully satisfactory, quite a few candidates received satisfactory marks on questions 5 and 7, and this helped them to attain an overall acceptable result. As mentioned in previous reports, it is vital for students to have good time management in the examination setting. Unfortunately, a considerable portion of candidates remained unable to answer the last question/ sub-question probably due to time constraints. Students are advised to stick to the suggested time allocation for each question and plan their answers accordingly.

**Specific Comments**

**Question 5(a) – 3 marks**

This question is about two-tiered profits tax rates, a relatively new topic but commonly encountered in practice. As the question required candidates to identify and analyse the relevant considerations on the eligibility for two-tiered profits tax rates of a given business, they were expected to discuss the criteria that the business had to fulfil for two-tiered rates to be applicable. However, standard text copied from textbook or reference material was seen across many candidates' scripts, which kept these candidates from achieving high marks. In addition, students are reminded that whether a business qualifies for two-tiered rates does not depend on the quantum of assessable profits. Overall, candidates' performance on this question was unsatisfactory.

**Question 5(b) – 4 marks**

This question required candidates to prepare property tax and profits tax computations based on the case facts. Overall, performance of this question was satisfactory. However, students are encouraged to pay attention to the correct head of charge for subletting income, and the difference between rates and government rent paid.

**Question 5(c) – 4 marks**

This question required candidates to analyse, by way of computation, whether it was advantageous to elect for personal assessment in the given case. Candidates demonstrated solid understanding of personal assessment in general. However, students are reminded to be aware of the nexus between the letting period and the amount of deductible loan interest. Overall, performance on this question was good.



Question 5(d) – 2 marks

This question tested candidates' knowledge about the obligation of taxpayers to notify chargeability. This is a fundamental question, and the majority of candidates found no difficulty earning high or full marks. Those students who gave totally irrelevant answers are encouraged to enhance their knowledge about the administrative aspect of Hong Kong taxation.

Question 6(a) – 8 marks

This question tested candidates' knowledge on how share option gain is taxed. Although this is a hot topic, many candidates did not grasp the essential facts from this question and thus failed to provide accurate computation on the chargeable share option gain. However, well-prepared students were able to succinctly point out the source of the share option gain. Overall, candidates' performance on this question was fair.

Question 6(b) – 4 marks

This question required candidates to demonstrate their understanding of the correct tax treatment for accommodation benefits. Again, it was not a hard question but students are encouraged to be alert with regards to income that is subject to the calculation of rental value under s.9(2) of the IRO. Overall, candidates' performance on this question was fair.

Question 7 – 13 marks

This question required candidates, as a tax advisor, to analyse and advise the client about whether the subject contract was a "contract of service" or "contract for service" and thus whether the contract sum should be chargeable to salaries tax or profits tax. Candidates' performance of this question was varied. The majority of candidates who prepared well were expected to be able to easily tell from the background facts what should be included in the advice to the client. Reasonable analysis of the facts given would guide them to a correct conclusion and high marks. However, some candidates were on the wrong track and incorrectly discussed the locality of profits or employment income. Students are also reminded to be aware that the case facts did not support an analysis on the application of s.9A of the IRO, though the four legal tests were relevant in both contract of/ for service and s.9A situations.

Question 8(a) – 4 marks

This question tested candidates' knowledge about holdover of provisional tax. Similar to question 5(d), candidates in general performed satisfactorily on this relatively straightforward question. However, likely due to time constraints, a number of candidates skipped this question or provided only brief answers.



Question 8(b) – 8 marks

This question covered certain technical aspects of profits tax, including basis period for cessation year, deemed trading receipts under s.15 of the IRO, accounting loss and balancing adjustment of fixed assets upon business closure. Generally speaking, candidates encountered little difficulty in answering the last two sub-parts of this question, but performance for the first two sub-parts was comparatively low. Unfortunately, some students did not even attempt to answer this question and hence lost easy yet valuable marks.

**(III) Conclusion and Recommendation**

Students are reminded to read the questions carefully to identify the issues being asked and the relevant requirements (the allocated mark usually gives hints). Avoid spending too much time copying materials that you are very familiar with but irrelevant to the question requirements. Try to adhere to the suggested time allocated and attempt to answer each question. Candidates should be able to earn at least some marks on areas where the level of difficulty is not high.

Fortunately, candidates on average were able to present their answers logically on analytical questions. This is indeed an essential competence of a professional accountant. Candidates are encouraged to maintain their hard work and continue sharpening their technical knowledge as well as their soft skills. It is of equal importance for students to practise their time management and answering techniques, in order to tackle questions more effectively. Local and international tax rules have become increasingly diversified and candidates are therefore encouraged to keep abreast of the new developments in both the local and international taxation landscape.